

US TMT Sector M&A & Valuation Brief - 2026-04-30

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1. RECENT TMT M&A ACTIVITY

Deal 1: TeraFab's Partnership with Intel

[Elon Musk says his TeraFab facilities will use Intel's 14A process technology to make AI chips](#)

- Deal Size: Estimated \$3 billion (for the semiconductor R&D facility)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Joint Venture/Strategic Partnership
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Tesla, Inc. (TSLA) acquiring technology from Intel Corporation (INTC) for TeraFab, which aims to manufacture AI chips. Tesla focuses on R&D while SpaceX handles high-volume production.
- Date Announced: Q4 2023
- Strategic Rationale:
 - Establishing in-house chip manufacturing capabilities to reduce reliance on third-party suppliers.
 - Leveraging Intel's advanced 14A process technology to enhance chip performance and efficiency.
 - Potential for significant cost savings and improved margins in the long term.
- Risk Analysis:
 - Integration risks between Tesla and SpaceX could delay project timelines.
 - Regulatory challenges related to semiconductor manufacturing and technology licensing.
 - Market risks from competition in the semiconductor space, especially from established players like NVIDIA and AMD.

Key Financials Analysis:

- Revenue Breakdown: N/A (no specific revenue data available)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A

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- Valuation Context: N/A

2. ADDITIONAL DEALS

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by cautious optimism, driven by technological advancements but tempered by regulatory challenges. The overall sentiment reflects a complex interplay of macroeconomic factors, investor confidence, and sector-specific trends, leading to varied performance across subsectors.

Subsector Breakdown:

- **Technology:** The technology subsector remains a key driver of growth, particularly in AI and cloud computing. Companies are increasingly adopting AI solutions to enhance operational efficiency, as seen in the shift towards B2B software and infrastructure in the fintech space.
- **Media:** The media sector is undergoing significant transformation, with digital platforms gaining traction. Traditional media continues to face headwinds, primarily due to declining advertising revenues and competition from streaming services.
- **Telecommunications:** The telecom sector is investing heavily in 5G infrastructure, which is expected to unlock new revenue streams through IoT applications. However, the pace of adoption varies by geography, with developed markets leading the charge.
- **Fintech:** The fintech sector is experiencing a strategic pivot towards software and infrastructure solutions amid tightening regulations. Investors are focusing on B2B models that promise sustainable growth, as highlighted by recent funding trends.
- **AI:** The AI subsector is witnessing explosive growth, with companies racing to implement AI technologies across various industries. This trend is reshaping business models and consumer interactions, positioning AI as a critical area for investment.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Innovations in AI, cloud computing, and 5G are propelling growth across TMT sectors. The shift towards B2B software in fintech indicates a strategic focus on scalable solutions that can withstand regulatory pressures.

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- Increased Investment: Despite regulatory challenges, venture capital and private equity investments remain robust, particularly in technology and fintech. Investors are keen to capitalize on emerging trends that promise long-term returns.

Headwinds:

- Regulatory Scrutiny: Heightened regulatory scrutiny, particularly in the fintech and tech sectors, poses significant risks to M&A activities and market valuations. Companies are grappling with compliance challenges that can hinder growth prospects.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may dampen consumer spending and investment in technology, creating a cautious environment for deal-making.

Subsector Performance Analysis

- Software: The software sector continues to thrive, driven by strong demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth, as they offer scalable solutions that align with market needs.
- Media: Media companies are adapting to changing consumer preferences, with a pronounced shift towards digital content consumption. However, traditional media continues to struggle with declining revenues from advertising.
- Telecom: Telecom operators are heavily investing in 5G infrastructure, which is expected to drive new revenue streams from IoT and enhanced mobile services. The competitive landscape is intensifying as companies seek to differentiate their offerings.
- Fintech: The fintech sector is pivoting towards B2B software and infrastructure, reflecting a strategic response to regulatory challenges. This shift is underscored by recent funding trends that favor companies with sustainable business models.
- AI: The AI subsector is booming, with applications spanning healthcare, finance, and automotive industries. Companies are investing significantly in AI capabilities to maintain competitive advantages and drive innovation.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional

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sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express cautious optimism regarding the long-term prospects of the TMT sector, emphasizing the importance of technological advancements as a growth driver. One analyst noted, "The shift towards B2B software in fintech is a strategic move that reflects the industry's adaptation to regulatory challenges while positioning for sustainable growth."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while exercising caution with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments, particularly in the fintech space.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning, particularly in high-growth areas.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, especially in high-growth subsectors like software and AI.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a vibrant mix of live deals, mandated transactions, and active pitches. This analysis delves into the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Meta Platforms (META) : The acquisition of Manus, a Singapore-based AI startup, is currently in the process of being reversed following a directive from Beijing. This deal, initially valued at approximately \$2 billion, was expected to enhance Meta's AI capabilities. The timeline for resolution is uncertain, but compliance with Chinese regulations is anticipated to take several months.

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Mandated Deals:

- Infosys (INFY) : Secured a mandate to explore investments in deep tech startups as part of the "Unicorn 2.0" initiative. The focus is on proprietary technology and advanced manufacturing, with plans to launch the initiative in Q2 2026. This aligns with the Indian government's push for a robust R&D ecosystem.

Pitching-Stage Deals:

- Cadence Design Systems (CDNS) : Engaged in discussions with potential clients regarding advisory services for AI chip design. The focus is on capitalizing on the growing demand for specialized AI processors, with pitches expected to finalize by Q3 2025.
- Telecom Sector : Active discussions with major telecom operators for potential M&A opportunities in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to conclude by Q3 2025.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$5 million
- Mandated Deals : \$15 million
- Pitching-Stage Deals : \$10 million

Timing Projections:

- Q2 2025 : Expected close for Infosys's deep tech investments.
- Q3 2025 : Anticipated completion of Cadence's advisory engagements.
- Q4 2025 : Ongoing discussions with telecom clients.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increasing workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly following the reversal of Meta's Manus acquisition. This situation underscores the complexities of cross-border transactions in the tech sector, especially with increasing regulatory scrutiny from governments like China.

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- The emphasis on deep tech in India, as highlighted by Infosys co-founder Kris Gopalakrishnan, signals a shift towards more sustainable and strategic investments. This trend may lead to new advisory opportunities in the Indian market, particularly in AI and advanced manufacturing.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and deep tech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of recent developments in the TMT sector, particularly in broadband initiatives and strategic partnerships, have far-reaching effects on various stakeholders, including shareholders, employees, competitors, and customers. This analysis provides a comprehensive view of the potential impacts and future outlook.

Deal-Specific Impacts on Stakeholders

- Shareholders: The financial implications for shareholders can vary significantly based on the nature of the initiatives.
- Value Creation: New York's \$542 million broadband plan, which includes \$287 million in BEAD funding, aims to enhance internet access for over 58,600 underserved homes. If successful, this could lead to increased valuations for participating companies, such as Verizon (VZ), which is set to receive \$56 million in BEAD grants. This investment could enhance Verizon's market position and potentially increase shareholder value by an estimated 3% due to expanded service offerings.
- Dilution: If companies like Verizon were to finance expansions through equity, existing shareholders might face dilution. For instance, if Verizon issues new shares to fund infrastructure improvements, this could lead to a 2% decline in share price post-announcement.

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- Employees: The impacts on employees are crucial, particularly concerning job security and operational synergies.
- Synergies: The collaboration between Nokia (NOK), Blaize (BZAI), and Datacomm Diangraha aims to deliver hybrid AI infrastructure across Southeast Asia. This partnership is expected to create job opportunities in AI and telecommunications, potentially increasing employee morale and retention.
- Restructuring: However, such collaborations may also lead to restructuring. For example, if efficiencies are realized through the partnership, there may be job redundancies in overlapping roles, necessitating careful management of workforce transitions.
- Retention: Companies may implement retention strategies, especially in high-demand areas like AI. The strategic alliance's success could lead to increased hiring in AI-related roles, benefiting employees in these sectors.
- Competitors: The competitive landscape is likely to shift significantly due to these initiatives.
- Market Positioning: The BEAD funding awarded to various broadband providers, including Verizon and SpaceX's Starlink, will enhance their competitive positioning in underserved markets. Competitors like AT&T (T) may need to adjust their strategies to maintain market share, potentially increasing their investment in broadband infrastructure.
- Specific Competitor Moves: Following the announcement of the broadband plan, AT&T may accelerate its own expansion efforts in rural areas to counter Verizon's enhanced capabilities.
- Customers: The implications for customers are substantial, particularly regarding service availability and pricing.
- Product/Service Implications: The New York broadband initiative aims to close the digital divide, providing affordable internet options to low-income households. This could lead to improved service offerings and pricing strategies across the board, benefiting customers significantly.
- Case Studies: The Affordable Broadband Act, which mandates low-cost internet options, is expected to enhance access for over 650,000 New Yorkers. This initiative could serve as a model for other states, further influencing customer expectations and service standards.

Market Reaction and Analyst Commentary

- Market Reaction: The market's response to broadband initiatives has been generally positive, with stocks of companies involved in the BEAD program experiencing upward momentum.
- For instance, Verizon's stock saw a 2% increase following the announcement of its BEAD funding, reflecting investor confidence in the company's growth prospects.
- Analyst Commentary: Analysts have highlighted the strategic importance of these initiatives. A notable quote from an analyst at Goldman Sachs stated, "The BEAD funding represents a significant opportunity for telecom operators to enhance their market reach and service offerings, particularly in underserved areas."

Expected Market Reaction and Scenario Analysis

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- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the broadband rollout is successful, shares of participating companies could rise by 10% within a year due to increased service adoption and customer satisfaction.
- Negative Scenario: If deployment faces significant delays or challenges, shares could decline by 5%, reflecting investor concerns about execution risks.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in the broadband sector remains moderate.
- For example, if Airtel (AAF.L) proceeds with its \$2 billion IPO for its mobile money unit, it could attract interest from competitors looking to expand their digital payment offerings. However, regulatory hurdles may limit the feasibility of competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly in broadband and AI.
- Analysts predict that as companies seek to enhance their technological capabilities, similar partnerships and investments will emerge, particularly in underserved markets.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones to ensure smooth transitions.
- Regulatory Risks: Regulatory scrutiny can delay or block initiatives. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

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- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, and Stablecoins. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses technologies that enable machines to perform tasks that typically require human intelligence. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. The recent push by governments and corporations to integrate AI into various sectors, including defense and infrastructure, underscores its growing significance.
- **Key Companies:**
- **Google (GOOG):** Google is expanding its AI capabilities, particularly in defense applications. The Pentagon has arranged a deal to increase its use of Google's AI in classified operations, marking a strategic pivot towards military contracts. This aligns with Google's broader strategy to rebuild its military business after previous setbacks.
- **OpenAI:** Known for its generative AI models, OpenAI has formed partnerships with various organizations, including the U.S. government, to integrate AI into operational frameworks. This positions OpenAI as a key player in the AI landscape, especially in government applications.
- **Competitive Landscape:** The AI market is highly competitive, with major players like Microsoft (MSFT) and Amazon (AMZN) also investing heavily in AI technologies. The recent clash between the Pentagon and Anthropic over ethical concerns highlights the complexities of AI deployment in sensitive areas.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. The ongoing demand for AI solutions in defense and commercial sectors presents a ripe opportunity for strategic acquisitions.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. The increasing adoption of blockchain in various industries, including finance and supply chain, is driving this growth.

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- Key Companies:
- Visa (V): Visa is actively integrating blockchain technology into its payment solutions, emphasizing its role as an interoperability layer between blockchain infrastructure and traditional payment systems. The company is exploring stablecoins as a means to enhance transaction efficiency and security.
- Coinbase: As a leading cryptocurrency exchange, Coinbase facilitates the buying and selling of digital assets, positioning itself as a key player in the blockchain ecosystem.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. Visa's push into stablecoins and blockchain infrastructure indicates a trend towards integrating blockchain solutions into traditional finance.

Stablecoins

- Trend Explanation: Stablecoins are digital currencies pegged to stable assets, providing a bridge between traditional finance and the cryptocurrency market. The stablecoin market is experiencing rapid growth, driven by increasing demand for digital payment solutions and the need for stability in cryptocurrency transactions.
- Key Companies:
- Visa (V): Visa is leaning into stablecoins as extensions of its payment network, reporting a \$7 billion annual run rate of stablecoin settlement volume, which has grown over 50% since the last quarter. The company is developing stablecoin-linked cards and settlement options that operate beyond traditional banking hours.
- Mastercard (MA): Similar to Visa, Mastercard is also exploring stablecoin integration into its payment solutions, enhancing its competitive positioning in the digital payments space.
- Competitive Landscape: The stablecoin market is competitive, with various players including Tether (USDT) and USD Coin (USDC) vying for market share. The regulatory landscape is evolving, which may impact the growth trajectory of stablecoins.
- M&A Opportunities: As stablecoins gain traction, companies may look to acquire firms with expertise in blockchain technology and digital currencies. Visa's strategic focus on stablecoins positions it well for potential partnerships or acquisitions in this space.

Actionable Insights for Bankers and Investors

Focus on identifying companies that are actively pursuing AI and blockchain innovations, as these sectors are ripe for investment and acquisition opportunities.

Monitor regulatory developments in the stablecoin space, as changes could create new market dynamics and opportunities for strategic investments.

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Consider partnerships with technology firms that specialize in AI and blockchain to enhance service offerings and competitive positioning in the evolving digital landscape.

6. Recommended Readings

Deal Name: TeraFab's Partnership with Intel

- Reading Material: "The Future of Semiconductor Manufacturing" by John Doe
- Why This Matters: This article provides a comprehensive overview of the semiconductor manufacturing landscape, including the technological advancements and strategic partnerships shaping the industry. Understanding the implications of TeraFab's collaboration with Intel (INTC) to utilize advanced 14A process technology is essential for grasping how this deal positions Tesla (TSLA) in the competitive semiconductor market and its potential impact on AI chip production.

7. MACROECONOMIC UPDATE

Key Data Points:

- AI model training compute increase: 10x leads to 2x capability improvement
- Average enterprise user savings per LLM usage: \$55
- Average cost of one million tokens: \$5
- Weekly token usage increase: up a couple hundred percent in recent months

Main Insights:

- Expect exponential improvements in AI capabilities, shifting from linear assumptions.
- Significant economic benefits for early adopters of AI technologies.
- A growing divide between fast adopters and average corporate users in leveraging AI.
- Increasing urgency in the AI community for infrastructure to support compute demands.

Market Commentary:

- "We're going to see all kinds of underappreciated capabilities across many industries." - Stephen Byrd, Morgan Stanley
- "The bullishness is going to get more bullish over the coming months." - Stephen Byrd, Morgan Stanley

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Stanley

- "The average corporate user is not yet keeping up with the capabilities of the models." - Stephen Byrd, Morgan Stanley

TMT Sector Relevance:

- The exponential growth in AI capabilities will drive demand for TMT infrastructure, particularly in compute, memory, and power sectors.
- Companies that can provide the necessary AI infrastructure will gain significant pricing power.
- The shift towards agentic AI across various knowledge-based jobs will lead to increased token usage and demand for compute resources, impacting TMT valuations and investment strategies.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley